INTERNAL · DRAFT · NEGOTIATING TERMS · CEO / Board Eyes Only

EXOS AEROSPACE — SSLC OPTION B: ACQUISITION OFFER SUMMARY

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1. What SSLC Holders Receive

Up-front price reflects today's numbers; earn-outs let SSLC holders share directly in tank deliveries, revenue milestones, and the Exos listing.

Earn-out rows: negotiating terms — management assumptions. Each milestone is independently verifiable; none pay unless the trigger is met.

Component	Low	Base	High	When / Notes
Cash at close	$2,510K	$2,510K	$2,510K	Close ~Q1 FY27
SSLC transaction costs	$60K	$60K	$60K	Close; seller-side
Credit for Exos's existing stake	$790K	$790K	$790K	Close (non-cash credit)
SSLC debts paid at face	$500K	$500K	$500K	Close; ~$500K TBV in QB
Working-capital bridge	$500K	$500K	$500K	Close
① Cash & debt relief at close	**$4,360K**	**$4,360K**	**$4,360K**	**Cash + costs + stake credit + debts + WC bridge**
+ Exos equity — $1.0M fixed EAI units (Rule 504, ~0.59% at 409A ~$170M)	$1,000K	$1,000K	$1,000K	EAI units issued as part of Exos's Rule 504 offering, at the 409A value; $1.0M counts toward Rule 504 $10M cap; issued at financing close
② Total at financing close (① + equity)	**$5,360K**	**$5,360K**	**$5,360K**	
Tank earn-out (5 yrs, 5%/yr, cap $300K/yr)	$750K	$1,250K	$1,500K	FY27–FY31; low 3%/base 5%/high 7% × IM rev; $300K/yr cap
Milestone M1: SSLC FY2026-27 rev ≥$5.1M	$200K	$200K	$200K	Pays FY28 Q1 if verified (all scenarios: mgmt base case)
Milestone M2: Nebula/OTV production contract signed	—	$200K	$200K	Pays at contract execution (any year FY27–FY30)
Milestone M3: SSLC annual rev ≥$10M	—	$250K	$250K	Pays first year threshold hit (est. FY29 at base/high)
Milestone M4: SSLC annual rev ≥$20M	—	—	$250K	Pays first year threshold hit (est. FY31 at high)
Milestone M5: BLK3 tank qualification complete	—	—	$200K	Pays at Exos BLK3 tank cert (est. FY27–FY28)
Exos stock earn-out at listing (on top of ~0.59% EAI up-front)	$0	$625K	$1,500K	Post-RTO ~FY29; earn-out 0.0%/0.25%/0.5% FD; lockup same as Exos principals. At 409A: $0/$424K/$848K. Total Exos equity: ~0.59%/~0.84%/~1.09%.
③ TOTAL OFFER VALUE, 5-yr (② + earn-outs; earn-out stock at listing)	**$6,310K**	**$7,885K**	**$9,460K**	**FY27–FY31. HIGH < $10M target — not rebalanced.**
IF HELD: all Exos stock projected in FY2031 (replaces listing earn-out)	*$6.7M*	*$9.6M*	*$12.4M*	*Total stake ~0.59/0.84/1.09% → ~0.41/0.59/0.76% after ~30% dilution × ~$1.63B FY31 EV (16× v12 EBITDA). Projection only; on SSLC-actuals case ~$0.7–1.3M.*
④ TOTAL IF STOCK HELD TO 2031 (① + tank + milestones + 2031 stock)	*$12.0M*	*$15.8M*	*$19.4M*	*Alternative to ③, NOT added to it. Forward-looking projection, not a promise; RTO may not close.*

Why this structure: SSLC holders receive real Exos equity at close ($1.0M EAI units, ~0.59% of $169.7M 409A, issued as part of Exos's Rule 504 offering) — not only contingent upside. It aligns them with Exos immediately. The earn-out stock stays 0.0–0.5%, so total equity is ~0.59–1.09%.

Chart: SSLC_OptionB_Total_Compensation_5yr_2026-10-07.png · Full model: EXOS_SSLC_OptionB_Acquisition_Model_2026-10-07.xlsx → 'Total Compensation' sheet · IM program continuity: Exos-SSLC continues the Intuitive Machines contract with no delivery interruption.

3. Key Terms

Term	Detail

Agreement basis	May 2025 Asset Acquisition Agreement, §3 exclusivity trigger
Total commitment	$5,360,000 base at close ($2.51M cash + $60K costs + $790K Exos stake credit + $500K WC + $1.0M EAI equity at 409A, Rule 504)
Exclusivity period	90 days from SSLC confirmation; extension not unreasonably withheld (§3)
Holdback (§7)	5% escrow, released at 12-month anniversary
SSLC debts assumed	Paid at face at close (est. ~$500K; verify QuickBooks)
Status	DRAFT — NEGOTIATING TERMS — not a final or binding offer

504 cap: $1.0M counts toward the Rule 504 $10M rolling 12-month cap; confirm remaining capacity. Rule 504 is U.S.-only; EAI units in the Japan round are Reg S — the two must remain distinct. See model → 'EAI Lockup & Liquidity' sheet for full detail.

4. EAI Unit Lockup & Liquidity

Restricted securities — Rule 504 Reg D, restrictive legend; not freely tradeable at issuance. Same lockup as Exos principals. Rule 504 ref: https://www.sec.gov/resources-small-businesses/exempt-offerings/exemption-limited-offerings-not-exceeding-10-million-rule-504-regulation-d

- **Rule 144 resale.** Holding period 6 months (reporting issuer) or 1 year (non-reporting). Exos is currently non-reporting; 6-month path opens only after RTO. 17 CFR 230.144(d): https://www.ecfr.gov/current/title-17/chapter-II/part-230/section-230.144
- **RTO structure — preferred at close.** At RTO close, founders/legacy holders receive unregistered non-voting non-convertible preferred (avoids NASDAQ Rule 5635). Converts to common + becomes liquid only after: (i) shareholder vote (proxy ~30 days post-close) and (ii) effective resale registration (S-1/S-3). EAI units follow this same path. [Board Brief 2026-09-04:16; Board Questions 2026-09-08:36,44]

Milestone	Target / Status
Board acceptance	D+0 — units committed; not yet issued
Financing close — units issued	Targeted Q1 FY27; 1-yr Rule 144 clock starts
Targeted RTO close	~6 months post-financing (targeted, not assured)
Conversion vote + resale reg. effective	~30–90 days post-RTO; preferred → common
Rule 144 eligibility	6-mo (after reporting); 1-yr if non-reporting at issuance
ALL DATES	Targeted, not assured. RTO may not close.

5. Projected Post-RTO Value (Projection — Not a Promise)

Forward-looking projection — management assumptions (RTO completion, listing valuation, ~30% dilution). Not a guarantee; actual results may differ. RTO may not close. SEC Rule 10b-5, 17 CFR 240.10b-5 (https://www.ecfr.gov/current/title-17/chapter-II/part-240/section-240.10b-5) antifraud rules apply. 409A issuance value: $1.0M fixed (~0.59%). Up-front EAI only; earn-out column is additional, at listing, pre-dilution.

Scenario	RTO MEV	~0.59% pre-dil	~0.59% post-dil (~30% dil)	+ earn-out at listing
Low	$200M	$1.18M	$0.83M	$0 (0.0%)
Base	$250M	$1.47M	$1.03M	+$625K (0.25% @ $250M)
High	$300M	$1.77M	$1.24M	+$1,500K (0.50% @ $300M)

Detail in model: drafts/EXOS_SSLC_OptionB_Acquisition_Model_2026-10-07.xlsx · With-vs-Without comparison: sheet 'With vs Without Exos Capital' · Exclusivity rescue options: SSLC_Exclusivity_Rescue_Options_and_Draft_Message_2026-10-07_DRAFT_v2.docx

DRAFT — INTERNAL — NEGOTIATING TERMS — John Quinn, CEO, Exos Aerospace — 2026-10-09